

TAB 16



Board of Education Report

File #: Rep-324-25/26, **Version:** 1

Agenda Date: 4/21/2026

In Control: Facilities

Consideration of Business Improvement District Renewal and Formation Petitions

Facilities Services Division

Brief Description:

(Consideration of Business Improvement District Renewal and Formation Petitions) Recommends to authorize the Chief Facilities Executive and/or her designee to execute petitions and cast the Proposition 218 ballot(s) in support of the renewal of three Business Improvement Districts (BIDs) (Downtown Industrial District, LA Fashion District, and Venice Beach) and the formation of two new Business Improvement Districts (Hooper Commons and MacArthur Park) within the City of Los Angeles (City), conditioned upon the BIDs providing a reduction of at least fifty percent (50%) of the proposed annual assessment amounts, and to execute any other reasonable instruments on behalf of Los Angeles Unified School District (LAUSD or Los Angeles Unified).

Action Proposed:

Authorize the Chief Facilities Executive and/or her designee to execute petitions and cast Proposition 218 ballot(s) in support of the renewal of the Downtown Industrial District, LA Fashion District, and Venice Beach BID Petitions; and the formation of two new BIDs, the Hooper Commons BID and MacArthur Park BID, within the City, conditioned upon the BIDs providing a reduction of at least fifty percent (50%) from the proposed annual assessment amounts, and/or execute any other reasonable instruments on behalf of Los Angeles Unified following confirmation of the negotiated assessment reduction.

Background:

A BID is formed when interested parties unite to propose a BID to serve a specific purpose for an identified geographic area. The BID proposal identifies the general services, activities, and programs to be paid through special assessments charged to all property owners within the BID. BID provides supplemental enhanced services which may include private security patrols (often referred to as ambassadors), sidewalk cleaning and pressure washing, graffiti removal, landscaping, maintenance improvements, special events, BID branding and marketing.

Each BID develops an annual budget based upon the services provided. The amount of each property owner's assessment of the budget is typically based on a formula that includes the square feet of the parcel and its buildings, and linear foot of frontage of the parcel. The assessments are collected by the City, placed in a trust fund for each BID, and funds are periodically released to support operations within the particular BID. A BID can range from three to 10 years in duration. In order to form a BID or renew a BID, a majority of the property owners (50.1%) in the BID area must affirmatively vote in support. BID petitions are submitted to the City Clerk for review and must receive approval by the Los Angeles City Council. Ballots are then mailed by the City to the property owners. In order for the BID to be approved, the City must receive a positive response from the majority of the ballots received.

The Downtown Industrial District, LA Fashion District, and Venice Beach BIDs are seeking renewal of their BID. The BIDs will need to submit the petition to renew to the City for the City Council to approve the

renewal. Subsequently, the City Clerk will distribute ballots to property owners to vote on the renewal. Downtown Industrial District, LA Fashion District, and Venice Beach BIDs are scheduled to renew as of January 2027. The Downtown Industrial BID provides services including bicycle and vehicle patrol, sidewalk sweeping and pressure washing, graffiti and handbill removal, trash and illegal dumping removal and economic development and communication programs that include planning activities, economic development activities, district stakeholder communications, and website. The LA Fashion District BID provides enhanced safe programs consisting of bicycle and vehicle patrols, services including sidewalk sweeping and pressure washing, graffiti and handbill removal, trash removal, landscape programs, tree trimming, and marketing and communications that include destination marketing, economic development, public relations and media outreach, advocacy, digital marketing, brand & creative services, trend & data reporting, event promotion & campaign support, and community & stakeholder communications. The Venice Beach BID provides services including sidewalk sweeping and pressure washing, graffiti and handbill removal, trash removal, landscape programs, tree trimming, destination marketing, beautification programs, website, district stakeholder communications, social media, business resources/support, and activations.

The Hooper Commons BID and the MacArthur Park BID are proposed new districts intended to provide supplemental services within their respective areas, above and beyond baseline City services. Proposed services for Hooper Commons include enhanced safety programs (such as bicycle, foot, and vehicle patrols), enhanced cleaning services (including sidewalk sweeping, pressure washing, graffiti and handbill removal, trash and illegal dumping removal, and tree trimming), and district marketing and coordination activities such as communications, placemaking initiatives, stakeholder outreach, and website management. Proposed services for MacArthur Park include Clean, Safe, and Beautiful programs, consisting of a Safe Team supporting crime-prevention efforts and concierge services; Clean Team services providing sidewalk and gutter sweeping, pressure washing, trash servicing, and graffiti removal; and landscaping and beautification efforts such as streetscape improvements, tree trimming, lighting, signage, public art, and district furnishings. Services would be overseen by a professional management team providing centralized administration and coordination.

Historically, Los Angeles Unified has negotiated and received a reduced special assessment per BID. Los Angeles Unified will continue to negotiate reduced special assessments for both BID renewals and new BID formations, and execution of petitions and ballots will be conditioned upon confirmation of the negotiated reduction.

The annual amount for the special assessment projected by the BID management teams for the three BID renewals (Downtown Industrial District, LA Fashion District, and Venice Beach) is approximately \$420,945. Board authority to support the BID renewals would be conditioned upon the BIDs agreeing to a reduction in the assessment of at least 50% of the proposed amount resulting in an estimated annual assessment of approximately \$181,431 beginning in 2027.

BID Renewals	Term	*Proposed Assessment (2027)	Negotiated Discounted Assessment	Los Angeles Unified Properties within BID
Downtown Industrial	2027-2033	\$80,351.44	\$22,639.07	9th Street ES
LA Fashion District	2027-2034	\$262,488.50	\$131,244.25	14th St. & San Pedro Admin. Office, San Julian Bus Garage
Venice Beach	2027-2035	\$78,106.00	\$27,548.04	Westminster Avenue ES
		\$420,945.94	\$181,431.36	

*Proposed assessment subject to annual increases based on the BID budget

The Downtown Industrial and LA Fashion District BIDs are both located in Region East, Board District 2 (Rocio Rivas), and Venice Beach BID is located in Region West, Board District 4 (Nick Melvoin).

In addition, the annual amount for the special assessments projected by the BID management teams for the two proposed new BID formations (Hooper Commons and MacArthur Park) is approximately \$301,845. Board authority to support the formation of the new BIDs would likewise be conditioned upon confirmation of a negotiated reduction of at least 50%, resulting in an estimated annual discounted assessment for approximately \$143,957 beginning in 2027.

New BID Formations	Term	*Proposed Assessment (2027)	Negotiated Discounted Assessment	Los Angeles Unified Properties within BID
Hooper Commons	2027-2031	\$198,889.75	\$99,444.87	LAUSD C3 Office
MacArthur Park	2027-2031	\$102,955.15	\$44,512.33	Charles White ES, MacArthur Park Visual and Performing Arts El, Esperanza ES, Liechty MS
		\$301,844.90	\$143,957.20	

*Proposed assessment subject to annual increases based on the BID budget

Hooper Commons BID and MacArthur Park BIDs are both located in Region East, Board District 2 (Rocio Rivas).

If a BID secures the required level of support through the Proposition 218 process, Los Angeles Unified would be responsible for encumbering and paying the cost associated with the special assessments pursuant to applicable law.

Expected Outcomes:

Approval of the action will authorize the Chief Facilities Executive or her designee to execute the petitions in support of both the renewal of existing BIDs and the formation of new BIDs within the City, conditioned upon the BIDs providing a discount of at least 50% or more to Los Angeles Unified on the annual assessment and pay the annual assessment for each BID if the BID is renewed and acknowledging that assessment liability, if the BID is approved by the City, arises independently through the Proposition 218 process.

Board Options and Consequences:

A “Yes” vote by the Board will authorize the Chief Facilities Executive or her designee to execute petitions and cast Proposition 218 ballots in support of the renewal of the Downtown Industrial District, LA Fashion District, and Venice Beach Business Improvement Districts (BIDs), and the formation of the Hooper Commons and MacArthur Park BIDs; condition Los Angeles Unified’s support on confirmation of a negotiated reduction of at least fifty percent (50%) of the proposed annual assessments; execute any related documents necessary to effectuate this action; and provide the necessary General Funds to encumber and pay the negotiated special assessments annually only if the respective BIDs are approved by the City of Los Angeles through the Proposition 218 process.

A “No” vote will withhold Los Angeles Unified’s affirmative support for the renewal and/or formation of the identified BIDs and will direct staff not to execute petitions or cast ballots in favor of the BIDs.. However, if a BID does secure the required support, Los Angeles Unified would still be responsible for encumbering and paying the cost associated with special assessments. as required under Proposition 218, Staff would continue to seek a discount on the assessments.

Policy Implications:

Los Angeles Unified does not have a current policy with regard to BIDs. The proposed action advances Los Angeles Unified’s 2022-2026 Strategic Plan Pillar 3 Engagement and Collaboration Leading for Impact by growing and leveraging partnerships with community-based organizations. and supporting improved cleanliness, safety, and operational conditions surrounding District facilities

Budget Impact:

If successful in negotiating a discount on the assessment, the projected annual amount for the special assessment associated with the three BID renewals would begin at approximately \$181,431 in 2027 and subject to annual increases based on the respective BID budgets. In addition, the two proposed new BID formations (Hooper Commons and MacArthur Park) would result in an estimated annual discounted assessment for approximately \$143,957 beginning in 2027, also subject to annual increases based on BID budgets.

The combined projected annual discounted assessment for the five BIDs would be approximately \$325,388 beginning in 2027. This represents a new, ongoing annual cost. Funding for the annual assessments will be provided by the General Fund, Business Improvement District Assessment program budget.

Student Impact:

Improve cleanliness and safety around the school perimeter and surrounding neighborhood.

Issues and Analysis:

Article 13 D (Proposition 218) of the State Constitution states that “parcels within a Business Improvement District that are owned or used by any public agency, the State of California, or the United States shall not be exempt from assessment unless the agency can demonstrate by clear and convincing evidence that those publicly owned parcels, in fact, receive no special benefit.”

Los Angeles Unified is not obligated to support the formation or renewal of a BID. Regardless of Los Angeles Unified’s support, if a BID is approved, Los Angeles Unified will be required to pay its special assessment unless there has been a formal determination that it is exempt.

The City has limited funding to provide certain services, and BIDs are able to supplement services that may

benefit the community. Supporting a BID is voluntary by the Board; however Los Angeles Unified is obligated to pay the special assessment should the City Council vote to pass the BID petitions presented.

Participation in a BID does not replace or diminish the duties, responsibilities, or positions of any Los Angeles Unified School District employees. BID services are intended to supplement City-provided services and District operations and do not supplant work customarily performed by Los Angeles Unified staff.

Attachments:

None

Submitted:

03/26/26

RESPECTFULLY SUBMITTED,


ANDRES E. CHAIT
Acting Superintendent

APPROVED BY:


PEDRO SALCIDO
Deputy Superintendent,
Business Services and Operations

REVIEWED BY:

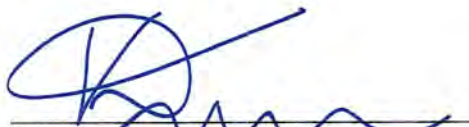

DEVORA NAVERA REED
General Counsel

☒ Approved as to form.

APPROVED & PRESENTED BY:


KRISZTINA TOKES
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REVIEWED BY:


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☒ Approved as to budget impact statement.

APPROVED & PRESENTED BY:


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